The Mental Health Epidemic: What Can Offices Do to Help?

Hamaad Mahmood

Atlas Research Institute · United States · November 2026

Abstract. Depression costs the United States economy an estimated $210.5 billion a year, and workers report rising loneliness at the same time. Offices are where most people spend most of their waking hours, which makes the office a plausible place to intervene. This paper asks how offices can create community to improve mental health outcomes in the workplace. It is a review of existing research, not a new study: the evidence comes from peer-reviewed work in organizational behavior, occupational health and public health, from government and WHO reports, and from industry research. Three mechanisms recur across that literature. Physical space shapes interaction, though the direction is not obvious: one study of two firms found that moving to open-plan offices cut face-to-face interaction by about 70 percent, a figure drawn from only two companies and not safe to generalize. Informal interaction, from small talk to shared meals, builds the familiarity that formal collaboration does not. Workplace culture, set mostly by managers and by policy, determines whether those relationships are safe to form. The recommendation is that employers treat the three together: design soft spaces while protecting personal space, create recurring occasions for informal interaction, and hold managers accountable for psychological safety through written policy rather than individual goodwill.

Keywords. workplace mental health; belonging; office design; informal interaction; psychological safety

1. INTRODUCTION

The mental health crisis has become increasingly widespread globally. Recent research suggests that depression has cost the US economy $210.5 billion (Greenberg et al., 2015, p. 155). Offices play a large role in the community and mental health of their workers. Company isolation and loneliness are overlapping constructs (D'Oliveira & Persico, 2023, p. 7), and belonging, in general, is cited not just as a human want but as a human need (Baumeister & Leary, 1995, p. 520).

The Office of the Surgeon General observes that community and social connection play a significant role in mental health (U.S. Office of the Surgeon General, 2024, p. 23). Thissen and colleagues, public health researchers in the Netherlands, add that a healthy workplace is not created just by individual support programs, but instead by a community where people feel included and valued (Thissen et al., 2023, p. 6).

With the mental health crisis growing and the economy losing billions, it has now become imperative that we ask the question: how can offices create a community to address the mental health crisis? This paper will explore how companies can create a community to address the mental health crisis through three processes: priming physical places, promoting informal interaction, and developing a supportive culture.

2. RELATIONSHIPS AT WORK

First, it is key to understand how relationships at the office work and how they affect mental health. Marshall and colleagues, marketing researchers studying workplace dynamics, define workplace isolation as coming from perceived separation either from colleagues or from the company (Marshall et al., 2007, p. 198). D'Oliveira and Persico, psychology researchers at King's College London, contextualize that for employees not to feel colleague isolation or company isolation, they need to be valued and accepted by their company and colleagues (D'Oliveira & Persico, 2023, p. 7).

This means that employees need true relationships. As they highlight in their study, simple task interdependence, or having people work together, has little effect on feelings of isolation (D'Oliveira & Persico, 2023, p. 1). Instead, meaningful relationships need to be formed. This is the finding that rules out the cheapest intervention: an employer cannot resolve isolation by restructuring work so that people must coordinate, because coordination is not connection.

These relationships play a large role in how employees perceive community and acceptance, both directly affecting mental health. These connections support well-being, engagement at work, and serve as support systems during stress (Maurer, 2024). That is why the Office of the Surgeon General found that social isolation can turn into chronic stress, which can exacerbate mental health issues while also having serious consequences on one's physical health (U.S. Office of the Surgeon General, 2024, p. 32). Together,

these sources show that companies can prevent social isolation and support mental health outcomes by allowing their employees to develop sincere relationships. The rest of this paper will explore how offices can produce beneficial relationships and community among their employees.

3. PHYSICAL PLACES

Office design is connected to a worker's psychological work environment and emotional health (Danielsson & Theorell, 2024, p. 3). Factors like how far different departments are, the break room, or what areas are inaccessible can subconsciously alter how people view their role in the office (Thissen et al., 2023, p. 7). By defining an office's physical place with care, it is possible to create an environment where employees do not just interact more, but also interact with intention.

That is why De Smet et al. (2022), consultants from McKinsey & Company, argue that offices need soft spaces where employees can come together. In their article, they specifically cite coffee shops as places where employees can interact and combine social interaction with productive work. Ferreira et al. (2021) add that coffee shop conditions allow for fluid interactions that create community and routine. Ferreira et al. continue, discussing the idea of coffices, where coffee shops merge as places of relaxation, community, and working (p. 13). This suggests that places like coffee shops, and other soft spaces, can allow for informal interactions, development of community, and productivity.

Offices can also prime their environment for interaction, not just by setting up places for socializing but also by altering the structure of their office so it is not emotionally draining. Ethan S. Bernstein, an associate professor in organizational behavior at Harvard Business School, and Stephen Turban find in a peer-reviewed study that despite the fact that open offices allow for more people to see each other, after moving to a more open office, face-to-face interaction decreased by approximately 70 percent as people moved online to communicate (Bernstein & Turban, 2018, p. 6). The researchers elaborate that this occurs because when people are more visible they feel their privacy is being violated and withdraw, instead of interacting more.

This study adds nuance to De Smet and colleagues' argument about soft spaces, because although soft spaces allow for more connection, simply removing walls can have the opposite effect and lead to less connection. The distinction is that a soft space is an additional place people may choose to go, while an open plan removes the places they could otherwise retreat to. Together, these sources show that offices should design soft spaces for community building, but they should give employees individual personal spaces too, like their own desk. Danielsson and Theorell explain that personal space protects employees from environmental stressors which hurt interaction (Danielsson & Theorell, 2024, p. 3).

While physical places can define how people interact in the office, they also have larger implications on mental health. The World Health Organization highlights the importance of a safe workplace. Unsafe or poor physical working conditions can lead to injury, anxiety, and stress for workers (World Health Organization, 2024). Not only do offices need to prioritize a physical place that supports connection and interaction, but also one that is physically safe for the people working there.

4. INFORMAL INTERACTIONS

Informal interactions play a significant role in developing familiarity and relationships at the office (Price, 2021). Dominic Price, a work futurist at Atlassian, clarifies that small talk and other forms of informal interaction allow people to be themselves. This allows for greater connection and represents a positive work environment if people are able to be true to themselves.

Companies can facilitate informal interaction through workplace events, whether that is a small get-together or a company-wide event (Sands, 2024). Additionally, recent research from Cornell finds that eating together has been shown to be very effective in improving team performance among firefighters (Kelley, 2015). Susan Kelley, writing about the research, explains that eating together breaks beyond the formal bonds at work and connects back to the primal tradition of eating together as a kind of social glue. She suggests that these findings can be extrapolated to other jobs, highlighting how eating together is a more intimate act than looking over a spreadsheet together.

This idea connects to what De Smet et al. and Ferreira et al. find. Coffee shops and other soft spaces at the office let people bond informally by creating familiarity through fluid interaction and serving as places for small talk (De Smet et al., 2022; Ferreira et al., 2021, p. 13). These sources highlight how informal interaction allows for community growth, while also describing the importance of being yourself at work.

5. WORKPLACE CULTURE

While informal interactions and physical places can support conversation and connection, the quality of those relationships depends on the workplace culture. Thissen and colleagues outline that workers need to be understood by their peers, feel safe to discuss their thoughts and feelings, and feel useful and valued by their managers (Thissen et al., 2023, p. 6).

The American Psychological Association adds that psychological safety plays a large role in workplace mental health outcomes and the quality of relationships. The source continues that for one to create a workplace environment where employees feel psychologically safe, managers need to set positive norms. That looks like accepting mistakes as growth and supporting people to voice their opinion (American Psychological Association, 2023). Bhatt and Fisher (2023) also underline the importance of management in setting the workplace environment and culture through their actions. They clarify that micromanaging and harsh bosses can have serious consequences on employee mental health, and that managers are the ones who can make or break a supportive environment.

These sources highlight how managers develop a culture and expectations in the workplace. Creating a positive environment like this can define coworkers' relationships with their colleagues, managers, and companies, which supports perceptions of community among employees (D'Oliveira & Persico, 2023, p. 1).

However, managers do not set the tone for everything. The World Health Organization adds that discrimination and bullying at the office can hurt employee mental health outcomes. A manager can set the tone of being kind, but coworkers can still be rude to each other. Wu and colleagues, occupational health researchers, explain that policies and training can help reduce or eliminate such toxic behaviors, including discrimination and workplace violence (Wu et al., 2021, p. 928). They also argue that culture is not just defined by managers' actions, but that workplace policies in general can set a tone of inclusion or exclusion. The World Health Organization defines policies that allow for mental recharge, breaks from work, and support for fitness needs as ones that are effective in creating an inclusive environment (World Health Organization, 2024). The practical consequence is durability: a culture that depends on one manager lasts as long as that manager does.

6. DISCUSSION

This paper argues that colleague-to-colleague isolation plays a large role in mental health and in having a supportive community. However, D'Oliveira and Persico argue against the effect of colleague isolation on mental health, saying that people have friends and communities outside of work (D'Oliveira & Persico, 2023, p. 7). Marshall et al. challenge this statement when they contend that humans have long perceived physical and social separation from the group as negative, because it means deprivation of support and protection, and that the availability of support, or lack thereof, is a critical factor leading to isolation perceptions in today's organizational settings (Marshall et al., 2007, p. 196).

While some people may have friends outside of work, the office is where most people spend the majority of their time. The office can also be a place of community, just as there are other places of community that D'Oliveira and Persico bring up. The correct conclusion is narrower than either position: the effect of workplace isolation varies with what support a person has elsewhere, which means office community matters most to the employees who have least outside it. That is an argument for acting, not against it, because those are the employees least able to compensate.

Additionally, it can be argued that creating community in the office is bad. Opponents contend that friendships in the office can detract from the goals of the organization and decrease efficiency, and that because of this it is not the office's role to create community. However, Maurer (2024) maintains that friendships at the office lead to greater support systems, which can help with stress and with actual tasks in the workplace. This highlights how community helps with the productivity of the company. The framing of the objection is also mistaken: office layout, meeting structure and management norms shape community whether or not anyone intends them to, so the choice is between shaping it deliberately and shaping it by accident.

7. RECOMMENDATIONS

Employers should treat the three mechanisms as one package rather than picking the cheapest one. Facilities and workplace teams should build soft spaces where people can meet without a meeting, and keep assigned personal space at the same time, because removing walls on its own can reduce interaction instead of increasing it.

People teams should schedule recurring occasions for informal interaction, including shared meals, rather than relying on employees to organize them.

Executives should hold managers accountable for psychological safety as part of how managers are evaluated, and should put anti-discrimination and anti-bullying rules, break policy and recharge time into written policy, since culture that depends only on individual managers does not survive a change of manager.

8. LIMITATIONS

This paper is a review of existing studies rather than new data collection, and the studies it relies on are narrow in ways that matter.

No causal claims. This paper synthesizes published findings and collects no data of its own. It cannot establish that changing an office causes a change in mental health outcomes, only that the literature reports associations in that direction.

Geographic concentration. The research question is global, but the cited studies are regional. Ferreira et al. examine coffee shops in the UK, where coffee shop culture may be unusual, and Thissen et al. studied the Netherlands. Norms and social expectations differ across countries, which makes findings hard to carry from one place to another.

Small samples. Several of the studies behind the physical-places argument rest on very few cases. Bernstein and Turban looked at two companies, so the 70 percent drop in face-to-face interaction could be an outlier rather than a trend. Thissen et al. looked at two offices. Danielsson and Theorell used self-reported data. These limits weaken the claims about personal space and soft spaces in particular.

Mixed source quality. Peer-reviewed research is used alongside consultancy and employer-association publications, which have an interest in the conclusion that employers should invest in workplace programs. Those sources are used for practitioner observation rather than for evidential weight.

9. CONCLUSION

Depression has cost the US economy billions and people are becoming increasingly lonely (Greenberg et al., 2015, p. 155). People who already feel isolated at work start to pull back. When people pull back, connection becomes less likely, and their isolation is only exacerbated. This loneliness destroys a sense of community for the employee, hurting collaboration and mental health (Barsade & Ozcelik, 2018). When people spend a majority of their day at work it is crucial that it is a positive environment.

Especially when community and mental health are so interlinked, it is clear why we asked the question: how can offices create community to improve mental health outcomes? In this paper, we explored current research to develop a three-pronged solution: altering physical environments, supporting informal interaction, and developing a healthy workplace culture. None of the three works well alone, which is the part most likely to be ignored, because acting on all three costs more than acting on one. By implementing these solutions, workplaces can develop community in the office and support the mental health outcomes of their workers.

A stronger follow-up study would need primary data from many offices across more than one country, measuring mental health outcomes before and after a specific change to space, event schedule or policy, so that the direction of the effect could be tested rather than inferred.

REFERENCES

American Psychological Association. (2023, December 4). What is psychological safety at work? Here's how to start creating it. https://www.apa.org/topics/healthy-workplaces/psychological-safety

Barsade, S., & Ozcelik, H. (2018, April). The painful cycle of employee loneliness, and how it hurts companies. Harvard Business Review. https://hbr.org/2018/04/the-painful-cycle-of-employee-loneliness-and-how-it-hurts-companies

Baumeister, R. F., & Leary, M. R. (1995). The need to belong: Desire for interpersonal attachments as a fundamental human motivation. Psychological Bulletin, 117(3), 497–529. https://doi.org/10.1037/0033-2909.117.3.497

Bernstein, E. S., & Turban, S. (2018). The impact of the "open" workspace on human collaboration. Philosophical Transactions of the Royal Society B, 373(1753), 20170239. https://doi.org/10.1098/rstb.2017.0239

Bhatt, J., & Fisher, J. (2023, March 13). The workforce well-being imperative. Deloitte Insights. https://www.deloitte.com/us/en/insights/topics/talent/employee-wellbeing.html

Danielsson, C. B., & Theorell, T. (2024). Office design's impact on psychosocial work environment and emotional health. International Journal of Environmental Research and Public Health, 21(4), 438. https://doi.org/10.3390/ijerph21040438

De Smet, A., Dowling, B., Mugayar-Baldocchi, M., & Schaninger, B. (2022, January 13). It's not about the office, it's about belonging. McKinsey & Company. https://www.mckinsey.com/capabilities/people-and-organizational-performance/our-insights/the-organization-blog/its-not-about-the-office-its-about-belonging

D'Oliveira, T. C., & Persico, L. (2023). Workplace isolation, loneliness and wellbeing at work: The mediating role of task interdependence and supportive behaviours. Applied Ergonomics, 106, 103894. https://doi.org/10.1016/j.apergo.2022.103894

Ferreira, J., Ferreira, C., & Bos, E. (2021). Spaces of consumption, connection, and community: Exploring the role of the coffee shop in urban lives. Geoforum, 119, 21–29. https://doi.org/10.1016/j.geoforum.2020.12.024

Greenberg, P. E., Fournier, A.-A., Sisitsky, T., Pike, C. T., & Kessler, R. C. (2015). The economic burden of adults with major depressive disorder in the United States (2005 and 2010). The Journal of Clinical Psychiatry, 76(2), 155–162. https://doi.org/10.4088/JCP.14m09298

Kelley, S. (2015, November 19). Groups that eat together perform better together. Cornell Chronicle. https://news.cornell.edu/stories/2015/11/groups-eat-together-perform-better-together

Marshall, G. W., Michaels, C. E., & Mulki, J. P. (2007). Workplace isolation: Exploring the construct and its measurement. Psychology & Marketing, 24(3), 195–223. https://doi.org/10.1002/mar.20158

Maurer, R. (2024). Friendship at work boosts employee well-being, engagement, and performance. SHRM. https://www.shrm.org/topics-tools/news/employee-relations/friendship-at-work-boosts-employee-well-being--engagement--and-p

Price, D. (2021, December 9). Small talk at work has big benefits. Work Life by Atlassian. https://www.atlassian.com/blog/teamwork/small-talk-at-work

Sands, M. (2024, February 12). Office attendance doesn't drive team connection. So what does? Work Life by Atlassian. https://www.atlassian.com/blog/distributed-work/intentional-togetherness-research

Thissen, L. C. S., et al. (2023). (Un)belonging at work: An overlooked ingredient of workplace health. Health Promotion International, 38(3), 1–11. https://doi.org/10.1093/heapro/daad061

U.S. Office of the Surgeon General. (2024, May 24). Our epidemic of loneliness and isolation. U.S. Department of Health and Human Services. https://www.hhs.gov/surgeongeneral/reports-and-publications/connection/index.html

World Health Organization. (2024, September 2). Mental health at work. https://www.who.int/news-room/fact-sheets/detail/mental-health-at-work

Wu, A., Roemer, E. C., Kent, K. B., Ballard, D. W., & Goetzel, R. Z. (2021). Organizational best practices supporting mental health in the workplace. Journal of Occupational and Environmental Medicine, 63(12), 925–931. https://doi.org/10.1097/JOM.0000000000002407

CONTRIBUTIONS

Hamaad Mahmood wrote the paper: selected the research question, gathered and read the sources, built the argument, and drafted and revised the manuscript.